QSS 20 Final Project Milestone 1

Group name: Person 1 name; Person 2 name; etc

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1 Project Option

Describe the final project you are pursuing.

This project uses the ICIJ Offshore Leaks Database, which consolidates five major investigative leaks, Offshore Leaks (2013), Panama Papers (2016), Bahamas Leaks (2016), Paradise Papers (2017), and Pandora Papers (2021), covering over 810,000 offshore entities across 200 countries up to 2020, distributed as CSV files representing nodes and relationships in an underlying graph database.

The project focuses on Georgian-linked actors in the offshore data, using Russian and European officers as comparative reference groups. Georgia is an understudied case: a post-Soviet state that accumulated its oligarchic class through Russia's 1990s privatization economy, yet has since pursued EU integration, leaving its wealthy class suspended between two models of wealth management. Bidzina Ivanishvili, billionaire founder of the ruling Georgian Dream party, appears in both the Panama Papers and the Pandora Papers and serves as the anchor case. The originality of this project lies in asking whether post-Soviet oligarchs from small, geopolitically ambiguous states behave more like Russian actors (maximizing opacity) or European actors (optimizing for tax efficiency within nominally transparent frameworks), a question the existing literature has not directly addressed.

2 Your project's main questions

Write 1 paragraph on the main questions you hope to answer.

This project investigates how Georgian elites use offshore financial networks to structure and protect their wealth, and whether their strategies more closely resemble Russian oligarchs or Western European actors. The central animating question is whether the shared Soviet legacy of weak property rights and chaotic privatization induces a distinct "post-Soviet" pattern of wealth concealment, one that transcends national borders and persists even as states like Georgia formally orient toward Western institutions. Alstadsæter, Johannesen, and Zucman (2019) establish that Russian and European offshore behavior are quantitatively distinct, with Russian elites holding wealth in maximally opaque structures compared to the tax-optimization-oriented strategies typical of Continental European actors. Chang et al. (2023) further show that Russian oligarchs concentrate their networks in secrecy-dependent intermediaries centered on UK territories and Cyprus. Georgia, having produced its oligarchic class through the same post-Soviet conditions as Russia yet now operating under different political incentives, offers a rare opportunity to test whether this pattern reflects Russian political context specifically, or the deeper structural inheritance of post-Soviet capital formation more broadly.

Concretely, the questions guiding this project are: which offshore jurisdictions do Georgian-linked entities cluster in, and does this shift over time in response to geopolitical events or leak disclosures? Do Georgian officers share intermediaries with Russian ones, suggesting common offshore infrastructure? And does the timing of Georgian entity creation correlate with domestic political events, specifically the rise of Georgian Dream from 2012 onward? By situating Georgia comparatively within the full ICIJ dataset, this project aims to characterize an oligarchic actor type that existing literature has largely left unexamined.

3 Your project's data sources/relevant fields

Give a 1 paragraph tentative summary of potentially relevant data and fields; you do not need to know the data exhaustively yet; this can just be based on codebook or reading in some sample data/viewing its head.

The primary dataset is the ICIJ Offshore Leaks Database, downloaded from offshoreleaks.icij.org, covering five leaks across five CSV files structured as a graph. `nodes-officers.csv` contains individuals and companies appearing as directors, shareholders, or beneficiaries of offshore entities, with `country_codes` serving as the primary filter for Georgian-linked actors and `sourceID` identifying which leak each record comes from. `nodes-entities.csv` contains the shell companies and trusts themselves, with `jurisdiction_description` as the central analytical variable for measuring concealment strategy, alongside `incorporation_date` for temporal analysis. `nodes-intermediaries.csv` records the law firms and registered agents who created structures on behalf of clients; shared intermediaries between Georgian and Russian officers would constitute evidence of common offshore infrastructure, directly bearing on the Soviet legacy hypothesis posed in Section 2. `relationships.csv` links all node types via `rel_type`, particularly `officer_of`, which connects Georgian officers to their associated entities throughout this project. The core workflow involves filtering officers by `country_codes`, joining through `relationships.csv` to linked entities, and pulling jurisdiction and intermediary data, a three-table merge executed in pandas.

A key limitation is that `country_codes` reflects how an officer was recorded in leaked documents rather than verified citizenship, and Georgian name transliteration is inconsistent across leaks, requiring fuzzy string matching for high-confidence name linking later.

Additional data for Milestone 2: The World Bank Worldwide Governance Indicators provides annual country-level scores for Control of Corruption and Rule of Law from 1996 to 2024, enabling temporal contextualization of Georgian entity creation against Georgia's governance trajectory and comparison against Russian and EU baselines. The Tax Justice Network's Financial Secrecy Index assigns each jurisdiction a numeric secrecy score, converting the categorical `jurisdiction_description` variable into a continuous measure for regression-style analysis.

Papers on theory:

Chang, H.C., Harrington, B., Fu, F., Rockmore, D.N. (2023). "Complex systems of secrecy: the offshore networks of oligarchs." PNAS Nexus, 2(3), pgad051.

Harrington, B. (2016). *Capital without Borders: Wealth Managers and the One Percent.* Harvard University Press. (And her follow-up, *Offshore: Stealth Wealth and the New Colonialism*, 2024)

Novokmet, F., Piketty, T., & Zucman, G. (2018). "From Soviets to oligarchs: inequality and property in Russia 1905-2016." *The Journal of Economic Inequality*, 16(2), 189-223.

Alstadsæter, A., Johannesen, N., Zucman, G. (2019). "Tax Evasion and Inequality." American Economic Review, 109(6), 2073–2103.

4 Create one starter visualization

Create two visualizations using the skills you've gained from the Pandas and matplotlib modules. Embed them here.

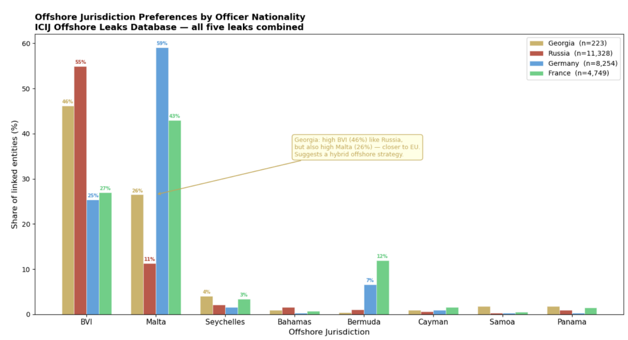

Figure 1: Offshore Jurisdiction Preferences by Officer Nationality

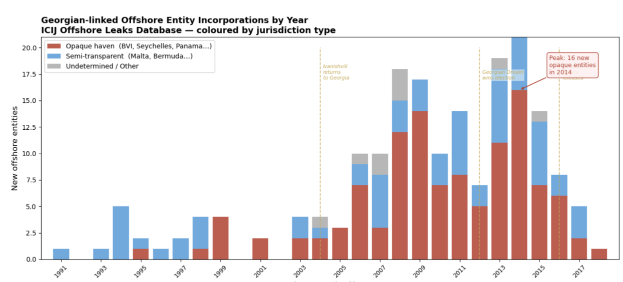

Figure 2: Georgian-linked Offshore Entity Incorporations by Year

Figure 1: Offshore Jurisdiction Preferences by Officer Nationality. This grouped bar chart compares the share of offshore entities registered in eight major jurisdictions across Georgian, Russian, German, and French officers. Georgia shows a striking hybrid pattern: like Russia,

Georgian officers rely heavily on the British Virgin Islands (46% of linked entities), a high-secrecy haven with minimal disclosure requirements. Yet Georgia's Malta share (26%) far exceeds Russia's (11%) and approaches EU country levels, suggesting Georgian offshore actors simultaneously use both maximum-opacity and EU-adjacent structures. This dual-track behavior is the central empirical puzzle the project will investigate.

Figure 2: Georgian-linked Offshore Entity Incorporations by Year. This stacked bar chart shows new offshore entities linked to Georgian officers incorporated each year from 1991 to 2018, colored by jurisdiction type, opaque havens in red and semi-transparent in blue. Opaque haven use accelerates sharply from 2006, peaking at 16 new entities in 2014, coinciding with Ivanishvili's political rise and Georgian Dream's consolidation of power. The persistence of Malta-registered entities throughout the full period suggests the EU-adjacent strategy predates Ivanishvili's political involvement rather than being a post-politics diversification. The decline after 2016 likely reflects a chilling effect from the Panama Papers release, a hypothesis to be tested in later analysis. Note: 36 of 223 Georgian-linked entities had no parseable incorporation date and are excluded.

5 Learn from an earlier project on your research topic

Read the report for the provided example on your project option from Fall 2022 (for felony sentencing, read one of the two). Describe one lesson you take away from their report and one weakness of their approach upon which you will try to improve.

Project read: *Mental Disability and COVID-19: Instances of Aggression Before and During the Pandemic* (Ash, Caviezel, Sullivan, 2022)

Lesson: The paper's most instructive methodological choice is its handling of a binary outcome variable. The authors ran both OLS and logistic regressions, found the marginal effects nearly identical, and chose OLS for interpretability, justifying the decision explicitly rather than defaulting to the more complex model. A comparable choice will arise in this project when operationalizing "offshore opacity": whether to treat jurisdiction type as categorical, binary, or a continuous FSI secrecy score. The lesson is to make that choice transparently and justify it empirically.

Weakness to improve upon: The paper's comparison framework is undermined by having only one dataset with no external reference population. When the authors find that Black and Hispanic individuals are significantly more likely to be reported for aggressive behavior, they cannot determine whether this reflects genuine behavioral differences, differential reporting, or selection bias in who gets referred to START. This project faces an analogous risk: analyzing Georgian officers only within the Georgian subsample could simply reflect who appears in the leaks rather than genuine behavioral patterns. The design choice made here, using the full 810,000-entity ICIJ database as the reference population, is a direct response to this weakness, situating Georgian actors within the full comparative distribution rather than analyzing them in isolation.

6 Your project's anticipated challenges

Conduct a 1 paragraph pre-mortem on challenges your project may face – e.g., measuring something, dealing with missing data, disentangling causality.

The most significant challenge is the small sample problem: with 281 Georgian-coded officers and 223 linked entities, any subgroup analysis quickly produces cells too small for confident inference. This will be managed by treating Georgian actors as a focal case study against the full database as a reference population rather than running statistical tests on the Georgian subsample alone. Second, name disambiguation is non-trivial, as the same individual can appear under multiple spellings and transliterations across leaks, requiring fuzzy matching and manual validation for high-profile cases. Third, the ICIJ data is a sample of convenience, covering only what was leaked, meaning absence of evidence cannot be treated as evidence of absence, particularly for the post-2016 period where coverage is uneven across providers. Finally, causal identification will be difficult: temporal correlations between Georgian entity creation and political events are suggestive but cannot establish whether offshore structures were created because of political activity or preceded and enabled it. The project will frame its findings as descriptive and comparative, using WGI governance data to contextualize temporal patterns without overclaiming causality.